



Unit 3: Idea-Opportunity, New Venture creation

- Sources of Idea & methods of generating new ideas
- Opportunity Evaluation
- John Mullins seven Domain Model
- New venture creation: Looking from the legal dimensions, phases during venture creation

SOURCES OF NEW IDEAs

- ☐ Market GAPS in methods and functions in businesses
- ☐ Process Improvements
- ☐ New and changes in technologies and needs
- ☐ Regulatory changes
- ☐ Observations of surroundings
- ☐ Creative thinking and application to problem solving
- ☐ Adept to newer technologies
- ☐ Pursuing hobbies and likings
- ☐ Experiential learnings and deploying academic learnings and methods learned in management
- ☐ Governmental data like Import and exports
- ☐ Global trends

METHODS OF GENERATING IDEAs

- Attend conferences, trade fairs, technical and commercial discussion forums
- Observation and brain storming sessions
- Focused Groups
- Market research analysis [Who project in-depth analysis of industries, business domains and consumer trends
- Read about new technologies
- Undertaking projects like during employment and academic studies
- Analyze research papers, doctoral studies
- Study patent information
- Listening to problems and use analytical skills, knowledge, take expert opinions in endeavor to solve them
- Making effort to add value to current solutions

OPPORTUNITY EVALUATION

Demand analysis and need in the market

- Existing size & capacity Industry
- Market leaders
- Past growth [topline and bottom line market potential]
- Projected size of the future growth [local / global estimations]
- Govt. & Private sector's development program and support system
- General quality of goods and product mix
- Past /present imports and future trend of volume and prices
- Present size of demand, and factors influencing the demand
- Customer choices and preferences trends

OPPORTUNITY EVALUATION

Market Structure & Feasibility

This analysis helps to evaluate the market potential in a scientific way based on analysis of some guiding pointers, in the form of questions. They help evaluate if there is sufficient, exclusive, niche or growing market for the proposed product or service.

Pointers for analysis can be line;

- Which are the main users of the product | services planned to market/ sale
- Subsidiary uses in the primary and secondary market, by geography
- Triggers or reasons for change in demand of customers product lines
- Total market size and its structure [organised | un-organised]
- Are the potential clients, large or smaller organisations
- What proportion of market potential is catered by imports
- Is the product demand across or specific industries and if there is scope for exclusivity
- Export potential and main as well evolving markets

OPPORTUNITY EVALUATION

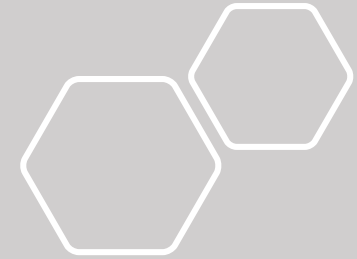
Competition analysis [Depth of competition]

This evaluation helps understand the competition canvas. This helps plan product aspects [size and price], sales strategy [direct or indirect sales] & promotion etc.

- Evaluate major a mid sized suppliers in the market venture intends to enter
- Strengths and weaknesses of major players and their business approach, past growth patterns of sales and % market shares
- Possibility of the new entrants in market and trends in the past of new players
- Local, regional players and if any international players in the market & differentiating factors of their products and services on quality and services and brand values
- Customer surveys on usage of competition products. This would enable venture to align the similarities for easy entry in the market

John Mullins seven Domain Model

[A tool-kit to validation process]



7 Domains



- Industry Attractiveness
- Target Segment benefits & attractiveness
- Industry attractiveness
- Competitive and economic sustainability
- Mission, aspirations and propensity for risk
- Ability to execute CSFs [Critical Success Factors]
- Connected Up and down the Value chain

Key factors of 7 Domain model

This is important as part of critical analysis of risk, micro/ macro factors on business sales canvas and scientifically evaluate the same

- Assessment of the overall size of the market, prospect customer base, revenues, and sales volume
- Analyze latest update growth trends and if its sustainable in the future
- Industry domain on Macro levels for barriers to enter, competition cross industry in the existing players
- Negotiation power and major bargain chips competition has
- Micro level aspects including the USPs, major product leverages, competition processes and patents as compared to the ventures proposed product or services
- Personal dimensions of venture promoters in terms of risk taking capacity and skills, abilities and “customer success factors CSFs”.
- Supply chain and resources channels of platers in the proposed market

A network diagram on the left side of the slide. It features several colored nodes (red, green, blue) connected by black lines, forming a complex web. The nodes are arranged in a way that suggests a hierarchical or interconnected structure. The background of the slide is white with a faint, abstract grey shape.

New Venture creation

- Building Entrepreneurial Team
- Work Allocation
- Stabilization Phase – Change In Role
- Growth / Expansion Phase
- Regulatory Issues

Entrepreneur HIMSELF or Core Team

- Prime motivator behind the idea
- These minds drive core vision, values and mission & need to align the actions of self and team
- They carry the **RISK** and so is the responsibility
- They are accountable for the resources

CARE – Initial | Launch Phase

- Focus on key activities core to business
- Closely monitor the strategic * functional activities
- Ensure to take the pre-decided plans and keep options open and map the learnings
- Take opinions of relevant industry experts and delegate non-core activities to shared services model
- Try to make work SOP driven & work hard, self starter

Initial Phase - Work Allocation

Technology Aspects

- Focus on technology development as PRIME focus
- Ensure patenting and SOW, MOUs with great care
- Drive the discussion with technology partners
- Map the input to output process and map the same in operational responsibilities with relevant teams
- Ensure to map vendors, active & passive method
- Ensure to sign-off with legal aspects considered
- Drive sales aspects and investors, bankers activities SELF

Functional Aspects

- Human resource, Finance & Accounts
- Map the parameters of performance for outsourcing
- Ensure to analyze the cost and performance aspects on outsourcing [Virtual CFO's and HR etc.]
- Use the economic, suitable options of place, like incubation centers etc.]

Stabilization Phase – Change In Role

Ensure

- Map the changing business needs
- Adept to new skills and people requirement
- Operational method changes and SPO, KRA to change
- Newer and future skills to be hired and mentored
- Right handholding to talent hired and give learning curve depending on experience
- Due SOP to be place for work progress and review mechanism, intervention process

CARE - Stabilization Phase

- Explore right talent & keep employees motivated
- Sales and technology development as prime focus
- Cash flow to be carefully managed
- Internal and external trainings basis Training Need Analysis
- ensure to spend cash carefully for appraisals

Growth / Expansion Phase

Product | Service

- Process and product scalability
- Get experienced professionals in team
- Ensure right mix of talent in expansion phase, regional, gender and experience
- Org chart needs to be aligned to the growth potential and expansion
- If it's a M&A scenario, ensure to keep the team intact and motivated in new org structure

CARE – Growth Phase

- Ensure clarity in org structure
- KRA and OKRs to be re-defined and re-aligned
- Keep the roles relevant
- Control attrition
- Invest in PEOPLE

Regulatory Issues

As to establishment [Location & People]

- Factories Act
- Shop & Establishments
- Type of entity [Public & Pvt. Ltd, partnership, LLP, sole proprietor's]

Aspects | scope

- Work Timings, Health and Hygiene
- Minimum wages & Salary, insurance
- POSH and other governance guidelines
- Statutory deductions and compliances;
- Provident Fund
- Gratuity
- Professional Tax
- TDS on wages and salaries
- Others like IPR, environmental aspects